

Empirical Research in Finance

Dr. Beatriz Mariano

1. Introduction; Research Question

My details

Dr. Beatriz Mariano

To get in touch: in/after class, Q&A sessions, moodle course page (forums)

Outline

- ▶ Introduction and assessment
- ▶ Finding a research question
- ▶ Models and data

What is this Seminar about?

**This course is an introduction to applied work in Finance
(lays the foundations for a bachelor thesis)**

More generally

- ▶ This seminar provides a practical introduction to empirical research. By the end, you will be able to:
 - ▶ Work effectively with data and handle typical estimation problems.
 - ▶ Interpret empirical results and understand their limitations.
 - ▶ Search for, evaluate, and use different sources of information.
 - ▶ Organise, write, and present arguments and ideas clearly.
 - ▶ Use AI tools appropriately to support your research.

Provisional course plan

Week	Date	Class Outline (TENTATIVE)
1	16/04/26	Introduction; How to find a research topic; Models and data: causal and non-causal inference
2	23/04/26	Interpreting regression output: statistical and economic significance
3	30/04/26	Dummy variables -- deadline for signing registration list in class
4	07/05/26	Time series and panel data: fixed effects and clustering -- group selection deadline: 08.05.26
5	14/05/26	<i>Holiday - no class</i>
6	21/05/26	Application in STATA and R
7	28/05/26	Application in STATA and R
8	04/06/26	Event studies and differences-in-differences
9	11/06/26	Fama-French 3 factor model
10	18/06/26	Financial databases management -- by end of week: term paper available below
11	25/06/26	Academic writing
12	02/07/26	Writing a research proposal; Using AI for research in finance
13	09/07/26	Q&A
14	16/07/26	Q&A
	15/09/26	Term paper submission deadline

Prerequisites

Formal prerequisites:

- ▶ Grundlagen der Finanzwirtschaft I
- ▶ Grundlagen der Finanzwirtschaft II

You should have

- ▶ some knowledge of finance, e.g.
 - ▶ risk&return, CAPM, Efficient market hypothesis
 - ▶ Capital structure theories, agency problems
- ▶ some (even if basic) knowledge of statistics/ econometrics, e.g.
 - ▶ inference (hypothesis testing)
 - ▶ regression analysis

Course material

Literature

- ▶ Wooldridge, Jeffrey, *Introductory Econometrics: A Modern Approach*, any recent edition.
- ▶ MacKinlay, Craig, 1997, *Event studies in economics and finance*, Journal of Economic Literature, Vol. 35, pp. 13-39

Papers and lecture slides on Moodle

- ▶ Password: erf2026

Assessment: Deadline 15.09.26

Assessment for this seminar is based on:

- ▶ (Empirical) assignment - part 1 (80%).
 - ▶ Address specific empirical questions set by me + write a research report
 - ▶ Group choice link on Moodle (deadline: 08.05)
 - ▶ Use STATA or R
- ▶ (Descriptive) assignment - part 2 (20%).
 - ▶ Develop a research proposal on a topic that I select
 - ▶ Individual work

Finding a research topic: Why Good Questions Matter

Suggested reading: Wooldridge, Chapter 19.

Research question:

- ▶ A good question is **interesting**, **specific**, and **researchable**.
- ▶ A weak question is vague, broad, and leads to unfocused results, if any.

Examples:

- ▶ Vague: *"What affects stock prices?"*
- ▶ Specific: *"How do earnings announcements influence short-term stock volatility?"*

Formula for a Good Question

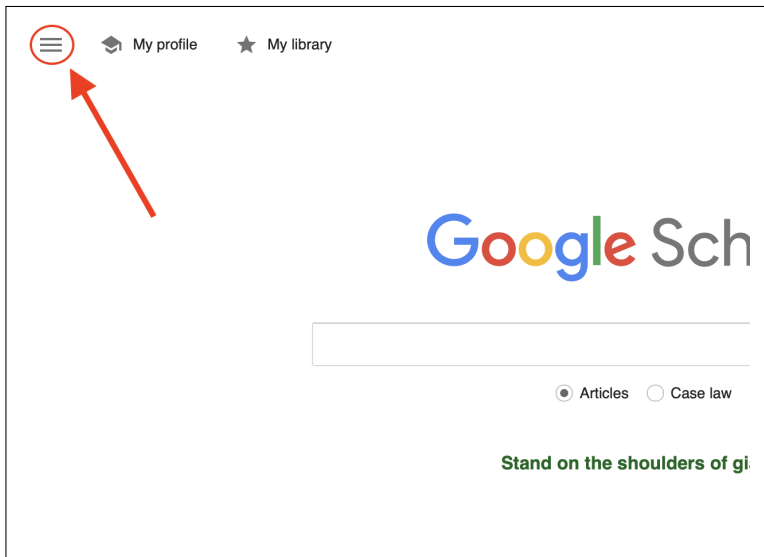
1. **Interesting** — Does it make you want to know more?
2. **Specific** — Can you explain it to your grandmother?
3. **Researchable** — Can you test it with data or theory?

From Broad Topics to Focused Questions

- ▶ Start broad: *Corporate governance*
- ▶ Identify an angle: *Board diversity*
- ▶ Add context: *European banks after regulatory reforms*

Resulting question: *“How has board gender diversity influenced bank risk-taking after the 2014 EU disclosure reform on diversity reporting?”*

Google Scholar “advanced search”



<https://scholar.google.com>

Example: Financial scandals

 Articles About 392 results (0,09 sec)

Any time

Since 2019

Since 2018

Since 2015

Custom range...

Sort by relevance

Sort by date

☒ include patents

☒ include citations

Corporate governance and the level of compliance with international accounting standards (IAS-1): Evidence from Bahrain Bourse

[A Al-Sartawi, F Alrawahi, Z Sanad](#) - ... Research **Journal of Finance** and ..., 2016 - [ahlia.edu.bh](#)

... Latifah et al., 2012; Al-Sartawi, 2016). After the global **financial scandals**, particularly, the **financial scandals** of 2001 and the **financial** crisis of 2008, governments, audit firms, and regulatory bodies began taking steps towards ...

☆  Cited by 14 Related articles 

Corporate governance consequences of accounting **scandals**: Evidence from top management, CFO and auditor turnover [PDF] [academia.edu](#)

[A Agrawal, T Cooper](#) - Quarterly **Journal of Finance**, 2017 - World Scientific

... They find that about 93% of the managers identified by regulators as culpable lose their jobs during the violation Corporate Governance Consequences of Accounting **Scandals** 1650014-7 Page 8 ... 2.2.2. **Financial** misstatements Desai et al ...

☆  Cited by 154 Related articles All 8 versions 

Corporate **scandals** and household stock market participation [PDF] [wiley.com](#)
Full View

[M Giannetti, TY Wang](#) - The **Journal of Finance**, 2016 - Wiley Online Library

... Notably, Malmendier and Nagel (2011, 2013) show that lifetime experiences of stock market returns and inflation affect households' decisions to hold stocks and other **financial** assets. We highlight the negative effect of corporate **scandals** on households' demand for equity ...

☆  Cited by 123 Related articles All 27 versions 

- ▶ Then: Check references in paper, Google's "cited by" and "related articles." Do different searches with several keywords (e.g. "financial fraud", "misreporting", ...).

Alternatives: E.g. Research Rabbit, AI

<https://www.researchrabbit.ai/>

“Good” journals

This is the list of the best Finance journals, based on journal rankings.

- ▶ Journal of Finance
- ▶ Journal of Financial Economics
- ▶ Review of Financial Studies
- ▶ Journal of Financial and Quantitative Analysis
- ▶ Review of Finance
- ▶ Journal of Financial Intermediation
- ▶ Journal of Corporate Finance
- ▶ Management Science
- ▶ Journal of Money, Credit and Banking
- ▶ Review of Corporate Finance Studies
- ▶ Review of Asset Pricing Studies
- ▶ Journal of Business
- ▶ Management Science
- ▶ Journal of Banking and Finance
- ▶ Journal of Accounting and Economics

“Good” journals

This is the list of the best Economics journals, based on journal rankings.

- ▶ American Economic Review
- ▶ Journal of Political Economy
- ▶ Quarterly Journal of Economics
- ▶ Econometrica
- ▶ Review of Economic Studies
- ▶ American Economic Journal (Applied Economics, Economic Policy, Macroeconomics, Microeconomics)
- ▶ Journal of Monetary Economics
- ▶ RAND Journal of Economics
- ▶ Journal of the European Economic Association

Appendix: STATA

Popular with finance researchers and easy-to-use. A free software alternative is R.

STATA is available in

- ▶ PCPools
- ▶ HU Library computers
- ▶ Access via Remote Desktop
 - ▶ access VPN:
 - ▶ <https://www.cms.hu-berlin.de/de/dl/netze/vpn/standardseite>
 - ▶ <https://www.cms.hu-berlin.de/de/dl/netze/vpn/SSL-VPN/standardseite>
 - ▶ <https://leqr.wiwi.hu-berlin.de/leqr/>